

INTERNAL AUDIT REPORT

Vendor Risk Audit | Report No. AR-02326

Report ID:	AR-02326
Audit Type:	Vendor Risk Audit
Report Date:	February 06, 2025
Audit Period:	2024-06-24 to 2025-01-08
Lead Auditor:	Stephanie Stewart (EMP-37075)
Reviewed By:	Martin Johnson (EMP-39449)
Primary Vendor Reference:	LucentBridge Technologies Ltd (VND-01611)
Subject Employee Reference:	Leah Lewis (EMP-14064)
Primary Transaction Reference:	TXN-681509
Overall Risk Rating:	HIGH

1. EXECUTIVE SUMMARY

This vendor risk audit covered the period 2024-06-24 to 2025-01-08 and examined transactions, approvals, and compliance records associated with vendor LucentBridge Technologies Ltd (VND-01611) and employee Leah Lewis (EMP-14064). The audit identified 3 finding(s) requiring management attention, summarised in Section 3. The overall risk rating for this audit is assessed as **HIGH**.

2. SCOPE AND METHODOLOGY

The audit was conducted in accordance with the Internal Audit Charter and covered a sample of transactions processed through the Approval Workflow and Expense Claim systems. Testing included transaction tracing, approval limit verification, compliance record cross-referencing, and interviews with relevant process owners. Transaction ID TXN-681509 (amount 324,577.08 GBP) was selected as a key test item.

3. FINDINGS

Finding ID	Severity	Category	Description
FND-004572	LOW	VENDOR RISK	Vendor Apex Solutions LLC holds CRITICAL risk rating. 3 payments totalling \$2,186 processed in the audit period.
FND-003370	MEDIUM	VENDOR RISK	BLACKLISTED vendor VND-VND-03663 received payment of \$333,967 via contract CON-107920 that was not updated following blacklisting.

Finding ID	Severity	Category	Description
FND-004100	MEDIUM	EXPIRED COMPLIANCE	Payment of \$11,307 released to WaveCore Manufacturing Holdings whose SOC 2 compliance expired 349 days before payment date.

4. EVIDENCE REFERENCES

Evidence ID	Source Type	Citation Reference	Alignment Score
EVI-013092	POLICY DOCUMENT	EVD-ASX-5767	0.91
EVI-014999	CONTRACT RECORD	EVD-FHV-7374	0.68
EVI-015497	COMPLIANCE RECORD	EVD-LYX-6479	0.90

5. RECOMMENDATIONS

- Restrict post-termination system access to prevent ghost-approver scenarios.
- Escalate repeat policy violations to the Risk Committee for disciplinary review.
- Implement enhanced due diligence procedures for vendors rated HIGH or CRITICAL risk prior to contract renewal.

6. MANAGEMENT RESPONSE

Management has already initiated corrective action; closure verification is scheduled for the next audit cycle.

7. SIGN-OFF

Role	Name	Employee ID	Date
Lead Auditor	Stephanie Stewart	EMP-37075	2025-02-06
Reviewing Officer	Martin Johnson	EMP-39449	2025-02-08